الجامعة العربية المفتوحة - مصر
Arab Open University
القبول والتسجيل
الامتحانات
Arab Republic of Egypt

AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

FIN341

Islamic Finance

Version A

Mid-term Examination
2025-2026 / Summer

3 – August – 2026

Number of Exam Pages: 2 (including this cover sheet)	Time Allowed: 1.5 hours

Instructions:

Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
This is a **CLOSED** book examination. NO documents of any kind are allowed.
You **MUST** answer the questions using only the answer booklets provided
You **MUST** return the examination paper together with your answer booklets.
Do **NOT** write your answers in pencil except graphs/sketches
Students are **NOT** allowed to use any type of dictionary or mobile phones during the examin
Students are allowed to use ***non-programmable*** calculators only (if needed).
Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Solve All Questions

Question 1: (25 marks)

An Islamic Bank has an Investment Account (IA) based on Mudarabah contract sharing profit and loss, 51% (Islamic bank): 49% (Investment Account holders). Under the agreement of IA Islamic banks can only use the fund in restricted or specified business activities. Real estate financing is one of the investments categorized under IA contract. The Islamic bank invested $ 2,500,000 with a reputable investment company for one year with the agreement to share the profit and loss by 35% (Real Estate Co.) and 65% (Islamic bank). At the end of the year, the real estate company earned $ 600,000 in profit.

Required

1) Calculate the income distributable to the IA holders.
2) Calculate the ratio of this distributable income (calculated in part 1) to the Islamic bank investment value.

Question 2 (25 marks)

An individual real estate developer is in the process of constructing a huge building. The project costs around $3,000,000. Unfortunately, the real estate developer found a shortage position of $500,000. As a result, the developer contacted a creditor, who lent the developer the needed $500,000. The real estate developer will repay $700,000 after one month.

Required

As per the above, is there any sign of Riba? Justify your answer. How much is the amount of Riba if exist?

Question 3: (25 marks)

Name five exchange-based contracts and discuss any **four** of your choice.

Question 4: (25 marks)

Distinguish between the definitions of accounting as generally understood in the conventional practice of financial reporting and Islamic accounting.

END OF QUESTIONS

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